

KAKUZI LIMITED
INTERIM FINANCIAL STATEMENTS
FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2010

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KAKUZI LIMITED

CHAIRMAN'S STATEMENT

RESULTS

The profit before tax is Kshs 194.5 million which compares with Kshs 54.8 million for the same period last year. Included in the profit are gains arising from changes in fair value of biological assets amounting to Kshs 16.6 million (Kshs 8.2 million loss for the same period last year). The improved performance is mainly due to a satisfactory return on our Tea Operations and a significant reduction on Finance Costs due to an improved cash position. The weaker Kenya Shilling has also had a positive impact.

OPERATIONS

As a result of good rainfall, after what was a prolonged drought in Makuyu, all our dams are full.

Due to these drought conditions our early Outgrowers Avocado Fuerte season was down on last year with 55 containers shipped as compared with 94 containers in 2009. Logistics in particular on shipping to Europe was a major problem. The Avocado Hass season has started on a satisfactory note having exported 117 containers to the end of July. Prompt movement of the product is however still of concern for this very perishable commodity. It is difficult to gauge the price sensitivity of Avocados for the season but initial indications are for a satisfactory demand. Recessionary trends continue in Europe together with the weak Euro which adds to the unpredictability of forward forecasting. The Avocado Packhouse operation has performed well during the period and we expect a similar total throughout to last year's levels.

Our Tea Estates produced 2.0 million Kgs of tea with total factory production at 2.5 million Kgs. Firm prices continued for our teas into this year but have now eased back during the second quarter. Cropping levels are in line with our expectations. The Outgrowers Empowerment Company has now purchased a further 8.5% shareholding in Siret taking their total holding to 49.5%. A recent wage award of 21% over two years is of serious concern and while the new rate can just be managed under present pricing and cropping regimes, any adverse movement would however have a significant negative impact on results.

Improved grazing conditions throughout Kenya have resulted in a weakening in demand and thus price for our Livestock. We continue to take a long term view on our Forestry Investment with day to day operations making a contribution to profits. The 1120 hectares of pineapple under the Joint Project Arrangement continues to give returns in line with our expectations.

Due to improved weather conditions, we have been able to increase our Macadamia plantings and have now 391 hectares in the ground and expect to attain 460 hectares planted by the year end. A significant investment was made early this year to put in place alternative water reticulation facilities to feed our strategic dams. We expect this investment to alleviate the problems we experienced during the latter part of last year where some of our dams had reached critically low levels to sustain our irrigation needs.

PROSPECTS

Although our expectation for the remainder of our Avocado season is positive concerns expressed earlier in my report must not be discounted. Tea production in Kenya is much improved over last year's levels but we hope that demand and pricing levels for our quality product will match those of the first half of the year. Cost inflation in particular for wages and power increases continue to be of concern. We expect to maintain a positive cash position as we continue with development and maintenance costs in particular on Macadamia on which returns are viewed as long term. Providing pricing and logistical factors remain in our favour and the Kenya Shillings does not strengthen over our major trading currencies, the prospect for the year should be satisfactory.

DIVIDEND

It is considered prudent to continue to focus on a strong cash position as we continue to have uncertain and unquantifiable factors ahead of us. In view of the above the Directors do not recommend a dividend for the first half of the year.

K W TARPLEE
CHAIRMAN
25 August 2010

KAKUZI LIMITED**CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2010**

	Notes	6 Months to 30 June 2010 Shs'000	6 months to 30 June 2009 Shs'000
Sales	3	808,271	694,947
Gains/(losses) arising from changes in fair value less estimated point-of-sale costs of biological assets	10	16,635	(8,249)
		824,906	686,698
Cost of production		(547,335)	(518,392)
Gross profit	3	277,571	168,306
Other income	4	22,319	4,659
Distribution costs	3	(105,277)	(120,075)
Finance costs	5	(115)	(15,071)
Profit on sale of shares in subsidiary	11	-	17,002
Profit before income tax		194,498	54,821
Income tax expense	6	(68,027)	(37,891)
Profit for the period (of which Shs 76,036,000 has been dealt with in the accounts of the company)		126,471	16,930
Other comprehensive income		-	-
Total comprehensive income		126,471	16,930
Profit for the period attributable to:			
Equity holders of the company		82,777	5,182
Non-controlling interest		43,694	11,748
Total comprehensive income attributable to:			
Equity holders of the company		82,777	5,182
Non-controlling interest		43,694	11,748
		Shs	Shs
Earnings per share attributable to equity holders of the company:			
Basic and diluted earnings per stock unit	7	4.22	0.26

KAKUZI LIMITED
**CONSOLIDATED BALANCE SHEET
FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2010**

	Notes	30 June 2010 Shs'000	30 June 2009 Shs'000	Audited 31 December 2009 Shs'000
CAPITAL AND RESERVES ATTRIBUTABLE TO COMPANY'S EQUITY HOLDERS				
Share capital		98,000	98,000	98,000
Retained earnings		1,745,148	1,374,872	1,660,587
Proposed dividends		-	-	49,000
Attributable to company's equity holders		<u>1,843,148</u>	<u>1,472,872</u>	<u>1,807,587</u>
Non-controlling interest		211,492	134,772	157,022
Total equity		<u>2,054,640</u>	<u>1,607,644</u>	<u>1,964,609</u>
Non-current liabilities				
Borrowings		-	72,000	-
Deferred income tax		567,469	537,133	554,511
Retirement benefit obligations		54,620	53,612	50,004
		<u>622,089</u>	<u>662,745</u>	<u>604,515</u>
		2,676,729	2,270,389	2,569,124
REPRESENTED BY				
Non-current assets				
Property, plant and equipment	9	610,181	612,888	604,446
Biological assets	10	1,722,188	1,596,137	1,623,069
Prepaid operating lease rentals		8,108	8,117	8,117
Non-current receivables		22,590	15,843	19,185
		<u>2,363,067</u>	<u>2,232,985</u>	<u>2,254,817</u>
Current assets				
Inventories		156,340	134,979	148,091
Receivables and prepayments		202,542	165,349	128,116
Current income tax recoverable		-	28,630	-
Cash and cash equivalents	12	316,975	68,314	342,231
		<u>675,857</u>	<u>397,272</u>	<u>618,438</u>
Current liabilities				
Payables and accrued expenses		272,568	182,562	231,414
Current income tax payable		60,826	21,630	65,402
Borrowings	12	21,140	148,293	-
Retirement benefit obligations		7,661	7,383	7,315
		<u>362,195</u>	<u>359,868</u>	<u>304,131</u>
Net current assets		<u>313,662</u>	<u>37,404</u>	<u>314,307</u>
		2,676,729	2,270,389	2,569,124

KAKUZI LIMITED
COMPANY BALANCE SHEET
FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2010

		30 June 2010	30 June 2009	Audited 31 December 2009
	Notes	Shs'000	Shs'000	Shs'000
CAPITAL AND RESERVES ATTRIBUTABLE TO COMPANY'S EQUITY HOLDERS				
Share capital		98,000	98,000	98,000
Retained earnings		1,636,489	1,306,757	1,560,453
Proposed dividends		-	-	49,000
Total equity		<u>1,734,489</u>	<u>1,404,757</u>	<u>1,707,453</u>
Non-current liabilities				
Borrowings		-	72,000	-
Deferred income tax		482,274	452,417	469,124
Retirement benefit obligations		35,430	32,284	32,398
		<u>517,704</u>	<u>556,701</u>	<u>501,522</u>
		2,252,193	1,961,458	2,208,975
REPRESENTED BY				
Non-current assets				
Property, plant and equipment	9	545,584	543,856	538,000
Biological assets	10	1,476,052	1,348,048	1,374,669
Prepaid operating lease rentals		4,419	4,424	4,424
Investments in subsidiaries		115,536	134,259	134,259
Non-current receivables		15,565	14,507	16,630
		<u>2,157,156</u>	<u>2,045,094</u>	<u>2,067,982</u>
Current assets				
Inventories		79,900	63,038	48,979
Receivables and prepayments		182,213	51,627	140,774
Current income tax recoverable		-	28,576	-
Cash and cash equivalents	12	32,335	54,865	85,464
		<u>294,448</u>	<u>198,106</u>	<u>275,217</u>
Current liabilities				
Payables and accrued expenses		158,350	129,725	90,604
Current income tax payable		15,856	-	39,901
Borrowings	12	21,140	148,293	-
Retirement benefit obligations		4,065	3,724	3,719
		<u>199,411</u>	<u>281,742</u>	<u>134,224</u>
Net current assets/(liabilities)		<u>95,037</u>	<u>(83,636)</u>	<u>140,993</u>
		2,252,193	1,961,458	2,208,975

KAKUZI LIMITED
**CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2010**

	Attributable to company's equity holders				Non-controlling interest	Total equity
	Share capital Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Total Shs'000	Shs'000	Shs'000
Period ended 30 June 2009						
At start of period	98,000	1,369,690	19,600	1,487,290	80,343	1,567,633
Total comprehensive income for the period:						
Profit for the period	-	5,182	-	5,182	11,748	16,930
Other comprehensive income	-	-	-	-	-	-
Total	-	5,182	-	5,182	11,748	16,930
Contributions by and distributions to owners:						
Dividend paid to non-controlling interest	-	-	-	-	(13,200)	(13,200)
Part disposal of a subsidiary (note 11)	-	-	-	-	55,881	55,881
Dividends:						
- Final for 2009	-	-	(19,600)	(19,600)	-	(19,600)
Total	-	-	(19,600)	(19,600)	42,681	23,081
At end of period	98,000	1,374,872	-	1,472,872	134,772	1,607,644
Period ended 30 June 2010						
At start of period	98,000	1,660,587	49,000	1,807,587	157,022	1,964,609
Total comprehensive income for the period:						
Profit for the period	-	82,777	-	82,777	43,694	126,471
Other comprehensive income	-	-	-	-	-	-
Total	-	82,777	-	82,777	43,694	126,471
Contributions by and distributions to owners:						
Dividend paid to non-controlling interest	-	-	-	-	(25,541)	(25,541)
Part disposal of a subsidiary (note 11)	-	1,784	-	1,784	36,317	38,101
Dividends:						
- Final for 2009	-	-	(49,000)	(49,000)	-	(49,000)
Total	-	1,784	(49,000)	(47,216)	10,776	(36,440)
At end of period	98,000	1,745,148	-	1,843,148	211,492	2,054,640

KAKUZI LIMITED**COMPANY STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2010**

	Share capital Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Total equity Shs'000
Period ended 30 June 2009				
At start of period	98,000	1,278,541	19,600	1,396,141
Total comprehensive income for the period:				
Profit for the period	-	28,216	-	28,216
Other comprehensive income	-	-	-	-
Total	-	28,216	-	28,216
Contributions by and distributions to owners:				
Dividends:				
- Final for 2009	-	-	(19,600)	(19,600)
Total	-	-	(19,600)	(19,600)
At end of period	98,000	1,306,757	-	1,404,757
Period ended 30 June 2010				
At start of period	98,000	1,560,453	49,000	1,707,453
Total comprehensive income for the period:				
Profit for the period	-	76,036	-	76,036
Other comprehensive income	-	-	-	-
Total	-	76,036	-	76,036
Contributions by and distributions to owners:				
Dividends:				
- Final for 2009	-	-	(49,000)	(49,000)
Total	-	-	(49,000)	(49,000)
At end of period	98,000	1,636,489	-	1,734,489

KAKUZI LIMITED**CONSOLIDATED CASH FLOW STATEMENT
FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2010**

	Notes	6 months to 30 June 2010 Shs'000	6 months to 30 June 2009 Shs'000
Operating activities			
Cash generated from operations	14	174,730	183,856
Interest received		9,729	313
Interest paid		(115)	(11,446)
Income tax paid		(59,645)	(31,733)
Net cash from operating activities		124,699	140,990
Investing activities			
Purchase of property, plant and equipment	9	(31,967)	(4,321)
Purchase of biological assets and development	10	(104,529)	(80,268)
Proceeds from disposal of property, plant and equipment		1,841	643
Proceeds from sale of shares in subsidiary	11	38,101	72,883
Net cash used in investing activities		(96,554)	(11,063)
Financing activities			
Payments on long-term borrowings		-	(56,000)
Dividend paid to company's shareholders		(49,000)	(19,600)
Dividend paid to non-controlling interest		(25,541)	(13,200)
Net cash used in financing activities		(74,541)	(88,800)
(Decrease)/Increase in cash and cash equivalents		(46,396)	41,127
Movement in cash and cash equivalents			
At start of period		342,231	(53,606)
(Decrease)/Increase		(46,396)	41,127
At end of period	12	295,835	(12,479)

KAKUZI LIMITED

NOTES TO THE CONSOLIDATED INTERIM FINANCIAL STATEMENTS FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2010

1. GENERAL INFORMATION

Kakuzi Limited is incorporated in Kenya under the Kenyan Companies Act as a public limited liability company, and is domiciled in Kenya.

2. BASIS OF PREPARATION

- a) The interim financial statements are prepared in compliance with International Financial Reporting Standards (IFRS). The interim financial statements are presented in the functional currency, Kenya Shillings (Shs), rounded to the nearest thousand, and prepared under the historical cost convention as modified by the carrying of biological assets and agricultural produce at fair values less estimated point-of-sale costs.

The preparation of interim financial statements in conformity with IFRS requires the use of estimates and assumptions. Although these estimates are based on the directors' best knowledge of current events and actions, actual results ultimately may differ from those estimates.

- b) The accounting policies used in the preparation of the interim financial statements are consistent with those used in the annual financial statements for the year ended 31 December 2009 unless otherwise stated.
- c) **Changes in accounting policy and disclosures** – Revised IAS 27 – consolidated and separate financial statements

The revised standard requires that any change in a parent's ownership interests in a subsidiary that do not result in a loss of control are accounted for as equity transactions (that is transaction with owners in their capacity as owners). As a result, the effect of the part disposal of a subsidiary not resulting in loss of control is accounted for in equity rather than income statement for consolidated accounts.

- d) Costs that occur unevenly during the financial year are anticipated or deferred in the interim only if it would be also appropriate to anticipate or defer such costs at the end of the financial year.
- e) Income tax expense is recognised based on the annual income tax rate expected for the full financial year. The annual tax rate used for 2010 is 30% (2009 was 30%).
- f) These unaudited interim financial statements should be read in conjunction with the 2009 annual financial statements.
- g) Where necessary, comparative figures have been adjusted to conform to the presentation of the current year.

KAKUZI LIMITED

NOTES TO THE CONSOLIDATED INTERIM FINANCIAL STATEMENTS (Continued) FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2010

3. SEGMENTAL REPORTING

Management has determined the operating segments based on the reports reviewed by the Executive Directors that are used to make strategic decisions.

The Group operates in two geographical areas in Kenya, Makuyu and Nandi Hills under several operating segments. The principal operating segments currently consist of Avocados and Tea. Macadamia will become a reportable operating segment in future (currently under all other segments) as it is expected to materially contribute to Group sales in the future. Other segments derive their sales from forestry, livestock, fresh pineapples and joint projects and are included under "all other segments" as they individually fall below the threshold of 10% of Group sales.

Segmental assets consist primarily of property, plant and equipment, biological assets, inventories, receivables and prepayments. Unallocated assets are property, plant and equipment, inventories relating to Main Office and Engineering and tax recoverable. Segmental liabilities consist primarily of borrowings, payables and accrued expenses. Unallocated liabilities are taxes, borrowings and non-current liabilities. The segment information for the reportable segments for the six month period ended 30 June 2010 and 30 June 2009 is as follows:

	2010	2009	2010	2009	2010	2009	2010	2009
	Tea		Avocados		All other segments		Consolidated	
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Sales								
Sales to external customers	596,701	314,847	110,264	259,364	101,306	120,736	808,271	694,947
Comprising:								
Major external customers sales	216,725	207,907	108,011	257,023	-	-	324,736	453,320
All other external customers sales	379,976	106,940	2,253	2,341	101,306	120,736	483,535	241,627
	596,701	314,847	110,264	259,364	101,306	120,736	808,271	694,947
Geographical analysis:								
United Kingdom	198,210	143,022	-	11,610	-	-	198,210	154,632
Continental Europe	22,344	1,525	108,011	245,414	-	-	130,355	246,939
Kenya	296,928	162,342	2,253	2,340	101,306	120,736	400,487	285,418
Others	79,219	7,958	-	-	-	-	79,219	7,958
	596,701	314,847	110,264	259,364	101,306	120,736	808,271	694,947

KAKUZI LIMITED

NOTES TO THE CONSOLIDATED INTERIM FINANCIAL STATEMENTS (Continued) FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2010

3. SEGMENTAL REPORTING (continued)

	2010	2009	2010	2009	2010	2009	2010	2009
	Tea		Avocados		All other segments		Consolidated	
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Profit/(loss)								
Gross profit /(loss) before depreciation and fair value changes in biological assets	228,924	70,663	56,279	129,845	(6,021)	(8,191)	279,182	192,317
Depreciation charge	(4,976)	(4,895)	(8,499)	(6,581)	(4,771)	(4,286)	(18,246)	(15,762)
Changes in fair value of biological assets	-	-	(126)	(36,923)	16,761	28,674	16,635	(8,249)
Gross profit	223,948	65,768	47,654	86,341	5,969	16,197	277,571	168,306
Distribution costs	(38,504)	(17,935)	(66,773)	(102,140)	-	-	(105,277)	(120,075)
Segment profit/(loss)	185,444	47,833	(19,119)	(15,799)	5,969	16,197	172,294	48,231
Other unallocated income and expenses								
Other income							12,590	4,346
Interest income							9,729	313
Finance costs							(115)	(15,071)
Profit on sale of shares in subsidiary							-	17,002
Profit/(loss) before income tax	185,444	47,833	(19,119)	(15,799)	5,969	16,197	194,498	54,821
Income tax expense	(32,547)	(24,830)	4,221	8,201	(39,701)	(21,262)	(68,027)	(37,891)
Profit/(loss) for the period	152,897	23,003	(14,898)	(7,598)	(33,732)	(5,065)	126,471	16,930
Assets (all located in Kenya)								
Segment assets	910,957	515,469	988,808	911,428	826,749	688,431	2,726,514	2,115,328
Unallocated assets							312,410	514,929
							3,038,924	2,630,257
Liabilities								
Segment liabilities	202,683	101,047	21,740	11,478	57,739	70,037	282,162	182,562
Unallocated liabilities							80,033	177,306
							362,195	359,868
Additions								
Property, plant and equipment	3,320	2,960	8,512	507	20,135	854	31,967	4,321
Biological assets	-	-	71,479	55,028	33,050	25,240	104,529	80,268
	3,320	2,960	79,991	55,535	53,185	26,094	136,496	84,589

KAKUZI LIMITED**NOTES TO THE CONSOLIDATED INTERIM FINANCIAL STATEMENTS (Continued)
FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2010**

	6 months to 30 June 2010 Shs'000	Group 6 months to 30 June 2009 Shs'000
4. OTHER INCOME		
Interest income	9,729	313
Net foreign exchange gain/loss, other than on borrowings	5,102	1,044
Gain on disposal of property, plant and equipment	649	434
Rental income	3,098	2,163
Sundry	3,741	705
	22,319	4,659
5. FINANCE COSTS		
Interest expense on bank borrowings and overdraft	115	15,071
6. INCOME TAX		
Current income tax	55,069	27,966
Deferred income tax	12,958	9,925
Income tax expense	68,027	37,891

7. BASIC AND DILUTED EARNINGS PER STOCK UNIT

Basic and diluted earnings per stock unit are calculated on the profit attributable to the members of Kakuzi Limited and on the 19,599,999 stock units in issue at 30 June 2010 and 30 June 2009.

The company had no potentially dilutive stock units outstanding at 30 June 2010 or 30 June 2009.

8. DIVIDEND

The directors do not recommend the payment of an interim dividend.

KAKUZI LIMITED**NOTES TO THE CONSOLIDATED INTERIM FINANCIAL STATEMENTS (Continued)
FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2010****9. CAPITAL EXPENDITURE**

	Group		Company	
	6 months to 30 June 2010 Shs'000	6 months to 30 June 2009 Shs'000	6 months to 30 June 2010 Shs'000	6 months to 30 June 2009 Shs'000
Property, plant and equipment				
Opening net book amount	604,446	633,494	538,000	560,969
Capital expenditure - additions	31,967	4,321	28,769	4,096
Disposals	(1,192)	(209)	-	(169)
Depreciation	(25,040)	(24,718)	(21,185)	(21,040)
Closing net book amount	610,181	612,888	545,584	543,856

KAKUZI LIMITED

NOTES TO THE CONSOLIDATED INTERIM FINANCIAL STATEMENTS (Continued) FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2010

10. BIOLOGICAL ASSETS

Changes in carrying amounts of biological assets comprise :-

	Group			Company		
	Livestock Shs'000	Permanent plantings Shs'000	Total Shs'000	Livestock Shs'000	Permanent plantings Shs'000	Total Shs'000
Period ended 30 June 2009						
At 1 January 2009	91,583	1,473,079	1,564,662	91,583	1,210,079	1,301,662
Increase due to purchases and development	6,259	74,009	80,268	6,259	73,304	79,563
Gains arising from changes in fair value less estimated point-of-sale costs	24,179	(32,428)	(8,249)	24,179	(32,428)	(8,249)
Decrease due to harvest and sales	(17,969)	(22,575)	(40,544)	(17,969)	(6,959)	(24,928)
At 30 June 2009	104,052	1,492,085	1,596,137	104,052	1,243,996	1,348,048
Period ended 30 June 2010						
At 1 January 2010	110,175	1,512,894	1,623,069	110,175	1,264,494	1,374,669
Increase due to purchases and development	7,748	96,781	104,529	7,748	95,781	103,529
Gains arising from changes in fair value less estimated point-of-sale costs	12,587	4,048	16,635	12,587	4,048	16,635
Decrease due to harvest and sales	(8,829)	(13,216)	(22,045)	(8,829)	(9,952)	(18,781)
At 30 June 2010	121,681	1,600,507	1,722,188	121,681	1,354,371	1,476,052

KAKUZI LIMITED

NOTES TO THE CONSOLIDATED INTERIM FINANCIAL STATEMENTS (Continued) FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2010

10. BIOLOGICAL ASSETS (continued)

Permanent plantings, which comprise tea, timber plantations, avocado, pineapple, macadamia, and livestock are carried at fair value less estimated point-of-sale costs.

The fair value of avocado is determined based on the discounted net present values of expected net cash flow, discounted at a current market determined pre-tax rate of 17.5% per annum. The key assumptions made concerning the future are as follows:

- projected lifespan of 25 years
- climatic condition will remain the same
- the market price will remain constant
- no account has been taken of inflation

The fair value of macadamia, as little biological transformation has taken place, is determined based on cost.

The fair value of other permanent plantings, where meaningful market-determined prices exist, is determined by external independent valuation based on recent market transaction prices.

For permanent plantings, decrease due to harvest and sales is applicable to timber plantations and pineapple only.

The fair value of livestock is determined based on market prices of livestock of similar age, breed and genetic merit.

11. CHANGE IN OWNERSHIP INTERESTS IN SUBSIDIARY

On 30 June 2010 Kakuzi Limited sold an additional 8.5% (30 June 2009: 17%) shareholding in Siret Tea Company Limited to EPK Outgrowers Empowerment Project Company Limited for a cash consideration of Shs 38,101,000 under the terms of the framework agreement bringing the non-controlling interest shareholding to 49.5% as at June 2010 (30 June 2009: 41%).

	6 months to 30 June 2010 Shs'000	Group 6 months to 30 June 2009 Shs'000
Sale of proceeds	38,101	72,883
Related carrying value of investment	(36,317)	(55,881)
Profit on sale of shares in subsidiary accounted for in income statement		17,002
Effect of change in ownership interests accounted for in equity	1,784	

KAKUZI LIMITED**NOTES TO THE CONSOLIDATED INTERIM FINANCIAL STATEMENTS (Continued)
FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2010****12. CASH AND CASH EQUIVALENTS**

For the purposes of the consolidated cash flow statement, cash and cash equivalents comprise cash at bank and in hand, net of bank overdrafts. On the balance sheet, bank overdrafts are included within borrowings in current liabilities. The period-end cash and cash equivalents comprise the following: -

	Group		Company	
	6 months to 30 June 2010 Shs'000	6 months to 30 June 2009 Shs'000	6 months to 30 June 2010 Shs'000	6 months to 30 June 2009 Shs'000
Cash at bank and in hand	316,975	68,314	32,335	54,865
Bank overdrafts	(21,140)	(80,793)	(21,140)	(80,793)
	295,835	(12,479)	11,195	(25,928)
Borrowings comprise				
Bank overdrafts	21,140	80,793	21,140	80,793
Short term loans	-	67,500	-	67,500
	21,140	148,293	21,140	148,293

13. CAPITAL COMMITMENTS

	Group		Company	
	6 months to 30 June 2010 Shs'000	6 months to 30 June 2009 Shs'000	6 months to 30 June 2010 Shs'000	6 months to 30 June 2009 Shs'000
Capital expenditure contracted for at the balance sheet date but not recognized in the consolidated interim financial statements is as follows:-				
Property, plant and equipment	17,292	4,072	11,945	4,072
Biological assets	427	-	427	-
Total	17,719	4,072	12,372	4,072

KAKUZI LIMITED**NOTES TO THE CONSOLIDATED INTERIM FINANCIAL STATEMENTS (Continued)
FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2010****14. CASH GENERATED FROM OPERATIONS**

		6 months to 30 June 2010 Shs'000	Group 6 months to 30 June 2009 Shs'000
	Notes		
Profit before income tax		194,498	54,821
Adjustments for:			
Interest income	4	(9,729)	(313)
Interest expense	5	115	15,071
Depreciation	9	25,040	24,718
Amortisation of prepaid operating lease rentals		9	9
Profit on disposal of property, plant and equipment		(649)	(434)
Profit on sale of shares in subsidiary		-	(17,002)
Gains arising from changes in fair value less estimated point-of-sale costs of biological assets	10	(16,635)	8,249
Decrease in fair value of biological assets due to sales and harvest	10	22,045	40,544
Changes in working capital			
- inventories		(8,249)	(18,401)
- receivables and prepayments		(77,831)	66,672
- payables and accrued expenses		41,154	6,172
- retirement benefit obligations		4,962	3,750
Cash generated from operations		174,730	183,856